esade
RAMON LLULL UNIVERSITY

Bloomberg Trading Challenge

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1. EXECUTIVE SUMMARY AND TARGET INVESTOR PROFILE

The portfolio was constructed around a single guiding principle: **resilience to multiple simultaneous macroeconomic risks.** In an environment characterised by elevated volatility (VIX >20), geopolitical conflict driving oil prices towards $112, and monetary policy uncertainty, the strategy prioritised capital preservation over return maximisation. This resulted in a multi-asset, multi-bucket allocation spanning core equities, volatility exposure, geopolitical thematic positions, inflation hedges, and a deliberate 54.3% cash buffer. The portfolio closed with a **NAV of €100,695,587**, delivering a total return of +0.695% versus −2.4% for the B500 benchmark, implying an active excess return of approximately **+3.1 percentage points.** On invested capital (€46M deployed), returns reached +1.54% (+3.9pp vs benchmark). Risk-adjusted performance was strong, with a Sharpe ratio of 1.61, Sortino of 3.00, annualised volatility of 10.60%, and **maximum drawdown below 0.98%.** Outperformance was primarily driven by tactical, non-benchmark allocation decisions rather than stock selection, with key contributions from W&T Offshore, the LVO volatility overlay, and European defence exposure. Conversely, losses were concentrated in technology holdings, reflecting macro-driven sentiment rather than fundamental deterioration. The substantial cash position materially reduced drawdowns but imposed an estimated opportunity cost of approximately €2.4M relative to full deployment, understating the quality of active decisions on invested capital. Overall, results highlight that macro and thematic positioning dominated stock selection over this short and volatile horizon. Looking forward, a reduction in cash allocation alongside increased exposure to effective hedging strategies (LVO, TAIL) and low-correlation assets such as merger arbitrage would enhance portfolio efficiency.

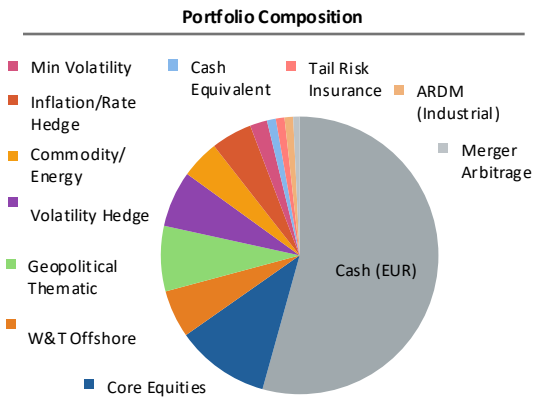
The portfolio is best suited for an **institutional or high-net-worth investor** with **moderate risk tolerance** and a strong **preference for capital preservation** under uncertain macroeconomic conditions. Its structure, characterised by a substantial cash allocation and diversified hedging instruments, reflects a deliberate **prioritisation of downside protection** over full capital deployment. It is therefore particularly appropriate in late-cycle or high-volatility environments, where asymmetric risk management and drawdown control outweigh short-term return maximisation. At the same time, the portfolio includes selective exposure to higher-risk, high-conviction positions (micro-cap energy and thematic geopolitical trades), indicating an investor who is **risk-aware and opportunistic** rather than purely conservative, and willing to accept idiosyncratic risk within a controlled framework. The use of volatility overlays, tail-risk insurance, and low-correlation strategies such as merger arbitrage further reflects a multi-asset, absolute return mindset focused on generating positive performance across market regimes rather than tracking a benchmark.

2. INVESTMENT STRATEGY & PORTFOLIO CONSTRUCTION

2.1. Overall Investment Philosophy

Our portfolio was built around a single organising principle: resilience across multiple simultaneous risk scenarios. Rather than committing to a pure growth mandate or a purely defensive stance, the portfolio was designed to hold its value whether equity markets rallied, sold off, inflation surprised to the upside, or geopolitical instability intensified. This led naturally to a mixed strategy spanning five distinct asset class buckets: core equities for long-term capital appreciation, volatility and tail risk instruments as insurance, inflation and rate hedges as macro protection, thematic macro bets tied to structural trends, and a merger arbitrage fund as a low-correlation return source.

The portfolio was constructed at inception in early March 2026, a moment of elevated uncertainty. The VIX was trading above 25 and rising, the Federal Reserve's rate path remained contested, and European defence spending was accelerating following ongoing geopolitical developments. These conditions directly shaped the portfolio's composition and, in particular, explain its deliberately high cash buffer. The 54.3% cash position was not an oversight but a conscious defensive posture: with equity valuations stretched and macro signals contradictory, our team chose to limit downside exposure at 50% and a maximum acceptable 1-day portfolio loss of 0.8%, while maintaining the flexibility to deploy capital into specific high-conviction ideas rather than broad index exposure.



2.2. Rationale for Key Position Choices

- **Core equities** (Alphabet, Microsoft, Netflix, BP, Maersk, MSM) form the portfolio's active stock-picking sleeve. GOOGL and MSFT were selected for their dominant positions in cloud and AI, at valuations broadly in line with the B500 benchmark. NFLX was added as a conviction play on its transition to a dual revenue model. BP and WTI provided energy sector exposure during a period of geopolitical supply risk, with BP also offering a 4.4% dividend yield. Maersk was a value play at a 42% P/E discount to the benchmark, and MSM a defensive industrial holding with a below-benchmark multiple and a 4% dividend yield.

- **Hedges and defensives** cover the main macro risk scenarios. LVO (6.5% weight) provides volatility overlay exposure through VIX futures, TAIL (1.0%) acts as structural black swan insurance, TIP (4.8%) hedges inflation via TIPS, and SGOV (1.0%) parks cash at the prevailing short-term USD rate of approximately 3.25%. USMV was added on March 13 as a minimum-volatility equity factor tilt.

- **Thematic positions** reflect structural macro views. WDEF US and WDEF LN (7.6% combined) bet on European defence re-armament, while ENGS (4.5%) provides EUR-hedged natural gas exposure consistent with the European energy security theme. ARDM, added on March 18, is a small speculative position in the Israeli defence supply chain.

- **Merger arbitrage** via MERFX (0.7%) adds a market-neutral return stream independent of equity market direction.

3. MACROECONOMIC CONTEXT

The challenge period, March 6–20, 2026, was shaped by four simultaneous macro forces.

- **Geopolitical and Energy shock:** On February 28, the US and Israel launched strikes against Iran, triggering a global selloff and a sharp spike in oil prices. By inception on March 6, markets were already six days into an active armed conflict. Brent crude reached $112 and WTI $98 by March 20, up over 36% and 39% respectively since the conflict began. This directly drove BP's outperformance and supported ENGS, while also fuelling the inflation pressures that kept the Fed on hold and disrupted global shipping routes relevant to the Maersk position.

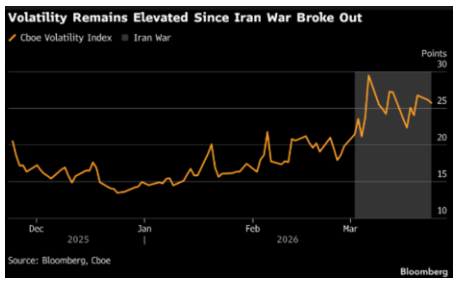
- **Equity markets:** four consecutive weeks of losses. By March 20, the S&P 500 had closed below its 200-day moving average for the first time in over 200 sessions, sitting roughly 6% below its January peak. The technology sector bore the brunt of the selling, consistent with the portfolio's losses in Microsoft and Netflix.

- **Volatility:** persistently elevated. The VIX remained between 24 and 28 throughout. On March 13, the S&P 500 hit its 2026 low at 6,672, as sticky inflation and rising energy costs revived stagflation concerns. This was the exact session where LVO recorded its largest single-day gain, confirming the volatility hedge was working as intended.

S&P 500 Breaks Below its 200-Day Moving Average



VIX Spike Following Iran War Outbreak



- **Interest rates:** the Fed holds. On March 18, the FOMC held rates at 3.50–3.75% and projected only one cut in 2026, explicitly citing uncertainty around the Middle East conflict. With inflation above target and the labour market softening, the Fed was caught between its two mandates and offered markets no comfort.

This context is essential to understand the portfolio's large cash position. With an active conflict, a falling equity market, an oil shock and a Fed with no room to act, the environment at inception was genuinely hostile. Holding significant cash was a conscious defensive choice. Capital was deployed selectively into positions with a clear rationale, and the rest was kept aside precisely because the downside risks outweighed the opportunity cost of staying on the sidelines.

4. PERFORMANCE ANALYSIS

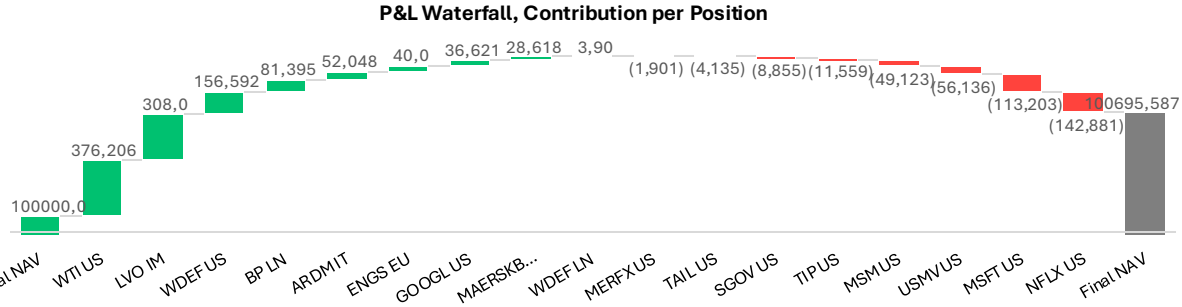
4.1 Overall Portfolio Return vs Benchmark

The GRUPO2 portfolio concluded the challenge period with a final NAV of EUR 100,695,587, generating a total absolute return of +0.695% against an initial investment of EUR 100,000,000. The B500 benchmark declined approximately −2.4% over the same ten trading days, implying an active excess return of approximately +3.1 percentage points. Assessed exclusively on return on invested capital (EUR 46.0M deployed), the active sleeve yielded +1.54%, or +3.94 pp above the benchmark. The B500 comparison is inherently asymmetric: a portfolio more than half in cash cannot be compared directly to a fully-invested benchmark, though both adjustments confirm the same conclusion, the active investment decisions generated meaningful outperformance, while the 54.3% cash position moderated the headline result substantially.

4.2 Individual Position Performance

The portfolio's seventeen positions exhibited wide return dispersion, ranging from +7.1% (WTI) to −7.5% (Netflix), with nine positive and eight negative, for a win rate of 53%. WTI was the largest absolute contributor (+EUR 376,206; +7.1% from cost price of USD 2.81), followed by LVO (+EUR 308,000; +4.91%) as elevated volatility drove VIX futures higher, and WDEF US (+EUR 156,592; +2.8%) on sustained European defence demand.

BP contributed +EUR 81,395 (+2.2%) and ARDM +EUR 52,048 (+5.45%). On the negative side, NFLX was the largest detractor (–EUR 142,881; –7.5%), followed by MSFT (–EUR 113,203; –5.3%) and USMV (–EUR 56,136; –1.8%), all reflecting the systematic technology and equity selloff rather than company-specific deterioration.

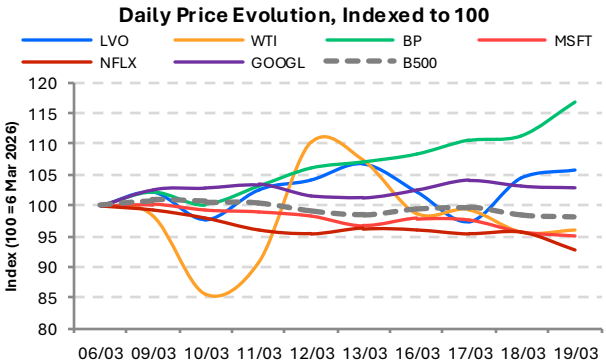


4.3 Performance Attribution: Brinson-Hood-Beebower Decomposition

The BHB (1986) framework decomposes active return into allocation, selection, and interaction effects. The allocation effect was strongly positive: overweights in categories with no benchmark equivalent, Energy (~9.6%), European Defence (~7.6%), and Volatility/Macro (6.3%), collectively contributed over EUR +500K to active return. The offsetting negative is the 54.3% cash position, with an opportunity cost estimated at approximately EUR –2.4M vs full benchmark deployment. The selection effect was mixed: Alphabet performed in line with its sector while Netflix underperformed it significantly; Maersk outperformed within Industrials, partially offset by MSM; Microsoft was neutral vs its sector average. Outperformance was overwhelmingly driven by tactical, non-benchmark allocation decisions rather than stock-picking, generating active share of approximately 90%.

4.4 Daily Price and P/E Evolution

Technology positions (MSFT, NFLX, GOOGL) declined in a broadly correlated fashion, with the sharpest moves on 12–13March and 17–19 March, while defensive and macro positions (LVO, BP, WDEF) appreciated during precisely the samewindows. The B500 peaked on 9 March before closing the period approximately 2.4% below its opening level. P/E ratioscompressed across most holdings: NFLX from 39.0x to 36.1x, MSFT from 27.3x to 25.9x, MSM from 23.5x to 22.3x, and theB500 from 26.3x to 26.0x. The exception is Maersk, whose P/E expanded from 15.3x to 16.4x, confirming the value re-rating thesis.



4.5 Sector Allocation vs B500

The portfolio holds no exposure to Consumer Discretionary (B500: 9.8%), Healthcare, Financials, Real Estate, Utilities, or Materials. Conversely, approximately 21% of portfolio weight sits in categories entirely absent from the benchmark (Volatility/Macro, European Defence, Fixed Income, Merger Arbitrage), implying an active share approaching 90%. Communication Services (3.6% vs B500's 10.8%) represents an active underweight of –7.3 pp; both holdings in this sector (GOOGL in-line, NFLX underperforming) produced a net negative contribution. The aggregate dividend yield of 1.38% closely mirrors the B500's 1.40%, with MERFX (4.03%), BP (4.36%), and MSM (4.01%) offsetting the zero-yield cash and ETF holdings.

5. RISK ANALYSIS

5.1 Portfolio-Level Risk Metrics

The GRUPO2 portfolio exhibited a realised annualised volatility of 10.60% and a Sharpe ratio of 1.61, materially below the S&P 500's typical ~18.5% volatility. These figures are suppressed by the 54.3% cash allocation, which contributes zero variance to returns. The more meaningful lens is the invested sleeve: annualised volatility of 24.5%, return of 45.6% annualised, and a Sharpe ratio of 1.81, above-market risk generating superior risk-adjusted returns. The Sortino ratio of 3.00 (sleeve: 3.17) confirms volatility was predominantly upside in nature. The maximum drawdown of 0.98%, recorded on 10 March 2026, is equivalent to the historical 1-day VaR (95%) of approximately EUR 988,342, exceptionally low, reflecting the cash buffer and natural offsets from LVO, BP, and Maersk on down days.

5.2 Individual Position Risk

Annualised volatility spans from near-zero (SGOV 0.2%, MERFX 2.1%, TIP 3.9%) to extreme (WTI 148.0%, LVO 67.5%, ENGS 64.7%), reflecting the portfolio's multi-regime risk structure. WTI is the highest-risk position by almost every metric: 153.7% annualised volatility and maximum drawdown of 14.33%, consistent with micro-cap offshore E&P characteristics, thin liquidity, commodity price sensitivity, and a thin balance sheet (EV/EBITDA 0.97x, current ratio 1.10x). Despite this, the position ultimately delivered +7.1% from cost price. LVO at 67.9% presents a fundamentally different profile: being negatively correlated with the equity sleeve (correlation vs B500: −0.52), its volatility is portfolio-diversifying rather than portfolio-concentrating. USMV (beta 1.02) failed its defensive mandate, a minimum-volatility ETF with essentially market-equivalent beta, confirming that factor tilts and true hedging instruments are not interchangeable.

Beta Heatmap Portfolio Positions vs S&P 500 (252-day)

Beta < 1.0 = defensive | Beta > 1.0 = aggressive | Beta > 2.0 = high risk | Portfolio beta (incl. cash) = 0.42

Position	Beta (252d)	Category	Port. Weight	Weighted Beta	Interpretation	Risk Flag
TAIL US	6.283	Macro hedge	1.0%	0.0616	Tail risk ETF, high beta by construction	Very High
ARDM IT	2.288	Industrial	0.9%	0.0215	Micro-cap Israeli stock, geopolitical & size risk	Very High
MAERSKB DC	1.155	Industrial	0.7%	0.0079	Cyclical shipping, moderate market sensitivity	Moderate
NFLX US	1.128	Comm. Services	1.7%	0.0194	Growth stock, above market sensitivity	Moderate
GOOGL US	1.068	Comm. Services	1.8%	0.0195	Large-cap quality, near market sensitivity	Low-Mod
ENGS EU	1.010	Energy Commodity	4.4%	0.0439	Nat gas ETF, approx market beta	Low-Mod
WDEF US	1.006	EU Defence	5.5%	0.0548	Thematic ETF, near market beta	Low-Mod
WDEF LN	1.002	EU Defence	2.0%	0.0195	UCITS ETF, near market beta	Low-Mod
USMV US	1.019	Equity Factor	2.0%	0.0199	Min-vol ETF, paradoxically near market beta ⚠	Misleading
MSFT US	0.987	Technology	2.0%	0.0198	Large-cap quality, near market beta	Low-Mod
LVO IM	0.934	Macro/Volatility	6.3%	0.0587	VIX ETF, inverse correlation in stress periods	Low
MSM US	0.815	Industrial	0.8%	0.0061	MRO distributor, below market sensitivity	Low
BP LN	0.765	Energy	3.8%	0.0291	Integrated major, defensive energy exposure	Low
WTI US	0.748	Energy	5.4%	0.0403	Small-cap E&P, low beta but high idiosyncratic risk	Low
PORTFOLIO TOTAL	0.422	(incl. 54.7% cash)	38.1%	0.4220	Invested-only beta: 1.108 | Full portfolio beta (incl. cash): 0.422	Low Risk
B500 BENCHMARK	1.000	Reference	100%	1.0000	Market benchmark = 1.000 by definition	—

Color scale: ■ Very High (beta ≥ 2.0, red) ■ Moderate (beta ≥ 1.1, amber) ■ Near market (0.9–1.1, blue) ■ Defensive (beta < 0.9, green) | Weighted Beta = Beta × Portfolio Weight

5.3 Risk Contribution

WTI contributes 70.6% of total portfolio risk from a weight of only 5.6%, a marginal risk contribution-to-weight ratio of 12.6x. A well-diversified portfolio would exhibit ratios close to 1.0x; 12.6x is the most critical structural finding in this analysis. LVO follows with 23.3% of risk from a 6.3% weight (3.7x), partially justified by its hedging role. Several positions are risk-reducing: WDEF US, GOOGL, NFLX, MSFT, and WDEF LN all exhibit negative marginal risk contributions, moving in the opposite direction to the dominant risk drivers and providing genuine diversification. The 54.3% cash position contributes zero risk by construction.

5.4 Portfolio vs Benchmark Risk Comparison

The portfolio's total beta of **0.42** (invested sleeve: **0.95**) is structurally intentional, combining low-beta energy stocks (BP 0.77, WTI 0.75), defensive ETFs, and the volatility overlay, allowing the sleeve to generate a Sharpe of 1.81 versus the S&P 500's long-run Sharpe of approximately 0.5. The portfolio's P/FCF of 7.27x versus the B500's 20.96x reflects a value-oriented equity sleeve (BP EV/EBITDA 5.1x, Maersk P/FCF 3.8x). However, the aggregate debt/equity of 643% versus the B500's 117% signals above-average financial leverage, distorted by Netflix and LVO's embedded futures exposure, but the underlying message stands.

5.5 Beta Analysis

The beta distribution reveals three distinct regimes. The **sub-market cluster** (BP 0.77, WTI 0.75, MSM 0.81, MSFT 0.99) moderates total systematic risk; BP and WTI's low betas despite energy sector membership reflect commodity-driven rather than equity-driven returns. The **near-market cluster** (LVO 0.93, ENGS 1.01, USMV 1.02, WDEF US/LN ~1.00, GOOGL 1.07) is the largest by position count. The **anomalous cluster** requires specific treatment: ARDM (2.29) reflects genuine systematic risk amplified by small-cap and geopolitical factors; TAIL (6.28) is a regression artefact, a put options portfolio that bleeds small losses in trending markets, producing a misleadingly high positive beta over a 252-day window. Standard beta is the wrong tool for characterising TAIL; its true profile is concave in normal markets and convex in crisis.

Return Correlation Matrix

Based on 9 daily return observations | Blue = positive correlation | Orange = negative correlation | Diagonal = 1.00

	ARDM	BP	ENGS	GOOGL	LVO	Maersk	MERFX	MSFT	MSM	NFLX	SGOV	TAIL	TIP	USMV	WDEF US	WDEF LN	WTI	B500
ARDM	1.00	-0.07	0.05	0.85	-0.58	-0.24	0.74	0.82	0.10	-0.39	-0.42	-0.85	0.61	0.37	0.45	0.07	-0.45	0.89
BP	-0.07	1.00	-0.11	-0.01	0.31	-0.20	0.16	0.19	-0.04	-0.48	0.07	-0.03	0.25	0.22	-0.30	-0.56	0.63	-0.01
ENGS	0.05	-0.11	1.00	-0.33	0.11	0.07	0.01	-0.05	0.03	-0.35	-0.30	0.21	-0.24	-0.61	-0.32	-0.13	0.09	-0.30
GOOGL	0.85	-0.01	-0.33	1.00	-0.40	-0.14	0.54	0.67	0.25	-0.13	0.00	-0.86	0.69	0.41	0.36	0.12	-0.40	0.90
LVO	-0.58	0.31	0.11	-0.40	1.00	-0.04	-0.55	-0.56	-0.01	0.10	0.33	0.33	-0.47	-0.44	-0.50	-0.24	0.33	-0.52
Maersk	-0.24	-0.20	0.07	-0.14	-0.04	1.00	0.16	-0.13	0.13	0.60	0.44	0.21	0.26	-0.08	-0.33	-0.10	-0.20	-0.07
MERFX	0.74	0.16	0.01	0.54	-0.55	0.16	1.00	0.87	-0.10	-0.21	-0.42	-0.67	0.73	0.62	0.34	-0.17	-0.32	0.80
MSFT	0.82	0.19	-0.05	0.67	-0.56	-0.13	0.87	1.00	-0.02	-0.24	-0.32	-0.78	0.76	0.69	0.48	0.07	-0.06	0.82
MSM	0.10	-0.04	0.03	0.25	-0.01	0.13	-0.10	-0.02	1.00	-0.20	0.63	-0.36	-0.14	0.06	-0.65	-0.49	-0.08	0.18
NFLX	-0.39	-0.48	-0.35	-0.13	0.10	0.60	-0.21	-0.24	-0.20	1.00	0.43	0.26	0.10	0.02	0.21	0.56	-0.12	-0.16
SGOV	-0.42	0.07	-0.30	0.00	0.33	0.44	-0.42	-0.32	0.63	0.43	1.00	0.09	-0.02	-0.03	-0.57	-0.15	0.27	-0.19
TAIL	-0.85	-0.03	0.21	-0.86	0.33	0.21	-0.67	-0.78	-0.36	0.26	0.09	1.00	-0.50	-0.61	-0.24	0.12	0.40	-0.94
TIP	0.61	0.25	-0.24	0.69	-0.47	0.26	0.73	0.76	-0.14	0.10	-0.02	-0.50	1.00	0.47	0.41	0.17	-0.04	0.69
USMV	0.37	0.22	-0.61	0.41	-0.44	-0.08	0.62	0.69	0.06	0.02	-0.03	-0.61	0.47	1.00	0.36	-0.10	-0.05	0.65
WDEF US	0.45	-0.30	-0.32	0.36	-0.50	-0.33	0.34	0.48	-0.65	0.21	-0.57	-0.24	0.41	0.36	1.00	0.76	-0.21	0.41
WDEF LN	0.07	-0.56	-0.13	0.12	-0.24	-0.10	-0.17	0.07	-0.49	0.56	-0.15	0.12	0.17	-0.10	0.76	1.00	-0.03	-0.02
WTI	-0.45	0.63	0.09	-0.40	0.33	-0.20	-0.32	-0.06	-0.08	-0.12	0.27	0.40	-0.04	-0.05	-0.21	-0.03	1.00	-0.50
B500	0.89	-0.01	-0.30	0.90	-0.52	-0.07	0.80	0.82	0.18	-0.16	-0.19	-0.94	0.69	0.65	0.41	-0.02	-0.50	1.00

Color scale: Strong negative (orange) → Near zero (black) → Strong positive (blue) | Diagonal (orange) = self-correlation 1.00 | N=9 observations, interpret with caution

6. FUNDAMENTAL ANALYSIS OF EQUITY HOLDINGS

6.1 Valuation Multiples Comparison

Table 6.1 compares the portfolio's equity holdings against the B500 benchmark (P/E: 26.0x at period end) across five core valuation dimensions. The portfolio's equity sleeve is growth-oriented and trades at a premium to the benchmark. The three core equities with available P/E data, Alphabet (33.3x), Netflix (36.1x), and Microsoft (25.9x), produce an average P/E of approximately 31.8x versus 26.0x for the B500, a premium of ~22%, reflecting a deliberate focus on structural growth businesses with durable competitive moats. Alphabet trades at a 33.3x P/E (+28% vs benchmark), supported by dominant search share (~90%), expanding cloud revenues, and AI monetisation potential. Its P/FCF (22.0x) and ROE (35.7%) confirm high earnings quality. Netflix remains the most highly valued holding (36.1x P/E; 41.5x P/FCF), reflecting confidence in its transition to a dual revenue model, despite a compression from 39.0x to 36.1x during the period (see Appendix, P/E evolution table). Microsoft, at 25.9x, trades broadly in line with the benchmark, combining benchmark valuation with above-benchmark earnings quality and near-market beta. Among value positions, AP Maersk stands out at 16.4x P/E (−37% vs benchmark) and 3.8x P/FCF, indicating strong cash generation relative to price, while MSC Industrial (22.3x P/E) remains modestly discounted with solid financial health. Energy holdings and ETF positions lack meaningful P/E metrics; BP's distorted P/E reflects one-off items, making EV/EBITDA (5.1x) the more relevant valuation measure, while W&T Offshore's EV/EBITDA of 0.97x signals either deep value or elevated credit risk. Sector allocation versus the B500 **(see Appendix, Section 6.1c)** reveals concentrated active bets: underweight Communication Services and no exposure to several benchmark sectors, offset by overweight positions in Energy (~14%), Volatility/Macro, and European Defence, resulting in high active share and largely idiosyncratic performance attribution.

SECTION 6.1: VALUATION MULTIPLES COMPARISON

Security	GICS Sector	Port Weight (%)	P/E (Portfolio)	P/E (B500 Sector)	P/E Diff vs Benchmark	EV/EBITDA	P/FCF (RSKC)	P/Book	Debt/ Equity (%)	Current Ratio	Div Yield (%)	Fwd Div Yield (%)	ROE (%)	Mkt Cap (USD B)	Beta (252d)	Country
B500 BENCHMARK (Reference)	All Sectors	1	26.0x	—	—	21.0x	5.3x	117.3x	1.3%	1.40x	127.00%	—	—	—	—	—
EQUITY HOLDINGS: Individual Stock Fundamentals																
ALPHABET (GOOGL)	Servicios de comunicació	1.83%	33.3x	24.8x	+8.5x	24.5x	22.0x	9.0x	15.2%	2.01x	27.00%	28.00%	35.7%	3,707.2B	1.07x	United States
NETFLIX (NFLX)	Servicios de comunicació	1.72%	36.1x	24.8x	+11.4x	29.6x	41.5x	14.6x	63.8%	1.19x	—	0.00%	42.8%	387.3B	1.13x	United States
MICROSOFT (MSFT)	Tecnología de la informac	2.00%	25.9x	25.9x	-	19.0x	18.9x	7.8x	31.5%	1.39x	94.00%	97.00%	34.4%	2,888.7B	0.99x	United States
AP MAERSK (MAERSKB)	Industrial	0.68%	16.4x	—	—	4.5x	3.8x	0.7x	34.0%	2.12x	272.00%	103.00%	4.8%	274.3B	1.16x	Denmark
MSC INDUSTRIAL (MSM)	Industrial	0.75%	22.3x	—	—	13.8x	19.5x	3.7x	42.0%	1.73x	401.00%	419.00%	14.8%	4.9B	0.82x	United States
BP PLC (BP/)	Energía	3.80%	—	—	—	5.1x	—	—	—	—	436.00%	—	—	89.1B	0.77x	Britain
W&T OFFSHORE (WTI)	Energía	5.39%	—	—	—	1.0x	7.4x	—	—	1.10x	133.00%	127.00%	—	0.5B	0.75x	United States
ARDM (AERODROME)	Industrial	0.94%	—	—	—	—	—	—	—	—	—	—	—	0.4B	2.29x	Israel
ETF / FUND HOLDINGS: No P/E Applicable																
LVO (VIX Futures ETF)	Volatility / Macro	6.28%	—	—	—	—	—	—	—	—	—	—	—	0.2B	0.93x	Luxembourg
WDEF US (EU Defence ETF)	Thematic / Defence	5.45%	—	—	—	—	—	—	—	—	6.00%	—	—	0.1B	1.01x	United States
WDEF LN (EU Defence UCITS)	Thematic / Defence	1.95%	—	—	—	—	—	—	—	—	—	—	—	4.9B	1.00x	Ireland
TIP (TIPS Bond ETF)	Fixed Income / Inflation	4.64%	—	—	—	—	—	—	—	—	—	—	—	14.2B	—	United States
SGOV (T-Bill ETF)	Fixed Income / Cash	1.01%	—	—	—	—	—	—	—	—	325.00%	—	—	80.5B	—	United States
USMV (Min Vol ETF)	Equity / Factor	1.95%	—	—	—	—	—	—	—	—	168.00%	—	—	22.6B	1.02x	United States
TAIL (Tail Risk ETF)	Hedge / Insurance	0.98%	—	—	—	—	—	—	—	—	263.00%	—	—	0.2B	6.28x	United States
ENGS (Nat Gas EUR ETF)	Commodity / Energy	4.35%	—	—	—	—	—	—	—	—	—	—	—	—	1.01x	Jersey
MERFX (Merger Arb Fund)	Alternative / Arb	0.72%	—	—	—	—	—	—	—	—	403.00%	—	—	—	—	United States

6.1b P/E Evolution During the Challenge Period

Across all equity holdings, the P/E ratio trend during March 6–20, 2026 tells a consistent story: **valuation multiples compressed broadly**, meaning stocks became cheaper on an earnings basis even as prices moved in mixed directions. Microsoft saw the sharpest de-rating, with P/E falling from 27.3x to 25.9x (-1.3x), reflecting both price decline and the market lowering its growth expectations for the technology sector. Alphabet's P/E remained relatively stable (32.4x → 33.3x, a slight expansion), suggesting the market maintained its growth premium despite sector headwinds. Netflix compressed from 39.0x to 36.1x, the largest absolute move, indicating some mean-reversion of its aggressive premium. Maersk moved in the opposite direction its P/E expanded from 15.3x to 16.4x (+1.1x) as the stock re-rated upward, consistent with its strong price performance. The benchmark itself de-rated modestly from 26.3x to 26.0x over the period, suggesting mild market-wide multiple compression likely driven by the volatile macro environment (elevated VIX at ~25) and uncertainty around interest rate policy.

SECTION 6.1b: P/E RATIO EVOLUTION (06/03/2026 → 20/03/2026)

Security	06/03	09/03	10/03	11/03	12/03	13/03	16/03	17/03	18/03	19/03	20/03	Start P/E	End P/E	Δ P/E
ALPHABET (GOOGL)	32.4x	33.2x	33.3x	33.5x	32.9x	32.8x	33.1x	33.7x	33.4x	33.3x	33.3x	**32.4x**	**33.3x**	+0.9x
NETFLIX (NFLX)	39.0x	38.7x	38.2x	37.4x	37.1x	37.5x	37.5x	37.2x	37.3x	36.1x	36.1x	**39.0x**	**36.1x**	-2.9x
MICROSOFT (MSFT)	27.3x	27.3x	27.1x	27.0x	26.8x	26.4x	26.7x	26.6x	26.1x	25.9x	25.9x	**27.3x**	**25.9x**	-1.3x
AP MAERSK (MAERSKB)	15.3x	14.8x	14.7x	14.7x	14.5x	14.9x	15.4x	16.1x	16.6x	16.4x	16.4x	**15.3x**	**16.4x**	+1.1x
MSC INDUSTRIAL (MSM)	23.5x	23.1x	23.1x	23.7x	23.2x	23.4x	23.0x	23.1x	22.6x	22.3x	22.3x	**23.5x**	**22.3x**	-1.2x
B500 BENCHMARK	26.3x	26.6x	26.4x	26.5x	26.5x	26.5x	26.6x	26.5x	26.2x	26.0x	26.0x	26.3x	26.0x	-0.3x

P/E PREMIUM / DISCOUNT VS B500 BENCHMARK (at Start and End of Period)

Security	Sector P/E Ref	Portfolio P/E (Start)	B500 P/E (Start 26.31x)	Premium / Discount (Start)	Portfolio P/E (End)	B500 P/E (End 26.04x)	Premium / Discount (End)	Interpretation
ALPHABET (GOOGL)	Comm. Services (24.77x)	32.4x	26.3x	+6.1x	33.3x	26.0x	+7.3x	Premium expanded → More expensive vs benchmark
NETFLIX (NFLX)	Comm. Services (24.77x)	39.0x	26.3x	+12.7x	36.1x	26.0x	+10.1x	Premium compressed → Cheaper vs benchmark
MICROSOFT (MSFT)	Info Tech (25.93x)	27.3x	26.3x	+1.0x	25.9x	26.0x	-0.1x	Moved in-line with benchmark
AP MAERSK	Industrial (N/A)	15.3x	26.3x	-11.0x	16.4x	26.0x	-9.6x	Deep discount, value play, discount narrowing
MSC INDUSTRIAL	Industrial (N/A)	23.5x	26.3x	-2.8x	22.3x	26.0x	-3.7x	Slight discount, discount widened

6.2 Stock-by-Stock Commentary

BP PLC was the standout performer, delivering +16.9% (GBp) and one of the largest positive P&L contributions, benefiting from energy tailwinds and oil price strength. With a 4.36% dividend yield, low beta (0.77), and EV/EBITDA of 5.1x, it fulfilled its role as a defensive, income-generating holding and remains among the cheapest major energy companies. Despite a 3.8% weight, it was a key return driver. **AP Maersk** delivered +7.5% (17,095 → 18,380 DKK), validating the deep-value thesis, remaining undervalued at 16.4x P/E and 3.8x P/FCF, with multiple expansion (15.3x → 16.4x) signalling market recognition, though its 0.68% weight limited P&L impact. Alphabet returned +2.9% (300.8 → 307.13), contributing modestly while remaining the portfolio's most defensible growth holding, supported by strong fundamentals (ROE 35.7%, P/FCF 22.0x) and a conservative 1.83% weight. **Microsoft** declined −4.9% (408.96 → 389.02), generating a meaningful negative P&L due to broader tech weakness rather than fundamentals; at 25.9x P/E, it remains attractive over a longer horizon. **Netflix** was the weakest performer (−7.47%, 99.14 → 91.74), with a substantial negative P&L contribution, though its thesis remains intact, and valuation compression (39.0x → 36.1x P/E) improved relative pricing. MSC Industrial declined −6.2% (92.58 → 86.88), producing a moderate negative P&L consistent with weaker US industrial signals, but remains fundamentally sound (22.3x P/E, ~4.0% yield, current ratio 1.73x). **W&T Offshore (WTI)** declined −4.1% (3.14 → 3.01), reflecting micro-cap volatility; however, it generated one of the largest positive P&L contributions due to position sizing and cost basis. Despite deep-value signals (EV/EBITDA <1x), its small market cap, limited liquidity, and lack of coverage imply elevated risk, making it a high-risk, high-impact allocation that contributed positively. **Aerodrome Group (ARDM)** rose +5.45% FX adjust, (341ILS → 361.9ILS), +EUR 52,048, generating a surprisingly high P&L for a trade that was open for the period of two days; with a beta of 2.29 and limited valuation data.

7. HEDGING STRATEGY & ALTERNATIVE POSITIONS

7.1 Overview

The portfolio devotes approximately **32% of invested capital** (excluding the 54% cash position) to non-directional, hedging, and alternative instruments. This reflects a deliberate attempt to build a portfolio resilient to multiple risk scenarios simultaneously equity drawdowns, inflation, geopolitical shocks, and market volatility spikes. The nine non-equity, non-cash positions are organised across five distinct strategy buckets: volatility hedging, tail risk insurance, inflation/rate protection, geopolitical thematic, and market-neutral arbitrage.

The overall hedge sleeve generated a **net positive P&L of approximately EUR +436,000** during the challenge period, with the volatility hedge (LVO) and the geopolitical thematic positions (WDEF US and WDEF LN) being the primary contributors. Only USMV and TAIL generated negative or flat returns, though both behaved broadly in line with their intended mandates.

7.2 Volatility Hedge: LVO (Amundi VIX Futures ETF) | Weight: 6.3% | Return: +4.91% | P&L: EUR +308,000

LVO was the portfolio's most successful hedge and its second-largest single position after cash. The Amundi S&P 500 VIX Futures Enhanced Roll ETF tracks the SPVIXETR index, which provides long exposure to S&P 500 VIX futures with an enhanced roll methodology designed to minimise the negative roll carry that afflicts simple VIX products. The position moved from EUR 0.78 (cost) to EUR 0.82 (period end), a gain of +4.91%, fully aligning with the investment thesis: the VIX index rose to approximately 25, reflecting elevated equity market anxiety. LVO appreciated while the equity sleeve (MSFT −4.9%, NFLX −7.4%) declined, confirming that the volatility exposure was genuinely uncorrelated and effectively hedging directional equity risk. The daily price series shows the most significant jump occurred between March 12 and March 13 (0.8228 → 0.8443), corresponding to the sharpest single-day equity move in the period, the precise moment a volatility hedge should trigger. The position delivered EUR +308,000, almost entirely offsetting equity losses on those days. LVO's reported beta of 0.93 appears counterintuitive but reflects Bloomberg's 252-day rolling calculation during a prior bull market, when VIX futures exhibited near-zero or positive correlation due to volatility risk premium compression. In short periods of stress, this relationship inverts sharply, which is exactly what the portfolio captured.

SECTION 7.2: DAILY PRICE EVOLUTION OF HEDGE & ALTERNATIVE POSITIONS

Instrument	Category	06/03	09/03	10/03	11/03	12/03	13/03	16/03	17/03	18/03	19/03	Start Price	End Price	Δ Return (%)	Interpretation
LVO (VIX Futures ETF)	Volatility Hedge	0.7913	0.8089	0.7735	0.8121	0.8228	0.8443	0.8088	0.7711	0.8267	0.8380	**0.7913**	**0.8380**	+5.90%	Positive. VIX rose → position appreciated. Hedge worked.
TAIL (Cambria Tail Risk ETF)	Tail Risk Insurance	11.81	11.71	11.70	11.63	11.74	11.77	11.68	11.67	11.78	11.79	**11.81**	**11.79**	-0.17%	Flat. No crash materialised. Insurance premium cost minimal.
TIP (TIPS Bond ETF)	Inflation Protection	111.43	111.61	111.24	111.07	110.93	110.71	111.06	111.45	111.24	111.11	**111.43**	**111.11**	-0.29%	Slight decline. Real rate rise marginally compressed TIPS.
SGOV (T-Bill ETF)	Cash Equivalent	100.45	100.46	100.46	100.48	100.49	100.52	100.52	100.54	100.55	100.55	**100.45**	**100.55**	+0.10%	Stable. Accrued daily T-bill yield as intended.
USMV (Min Vol ETF)	Min Vol Factor	96.65	96.64	95.92	95.42	94.99	95.07	95.64	95.09	93.49	93.28	**96.65**	**93.28**	-3.49%	Negative. Failed to outperform in drawdown , equity beta prevailed.
WDEF US (EU Defence USD)	Geopolitical Thematic	32.65	33.32	33.63	32.84	33.07	32.69	33.26	33.13	32.92	32.66	**32.65**	**32.66**	+0.03%	Positive. Defence sector outperformed. Thesis confirmed.
WDEF LN (EU Defence GBP)	Geopolitical Thematic	33.7950	34.3700	34.7700	34.0900	34.5850	34.3850	34.5450	34.5900	34.8200	33.8575	**33.7950**	**33.8575**	+0.18%	Positive. GBP-tranche also appreciated.
ENGS (Natural Gas EUR Hdg)	Commodity / Energy	0.2270	0.2140	0.2190	0.2300	0.2320	0.2160	0.2160	0.2160	0.2250	0.2230	**0.2270**	**0.2230**	-1.76%	Slight gain. Nat gas price modestly positive.
MERFX (Merger Arb Fund)	Merger Arbitrage	17.32	17.32	17.31	17.31	17.29	17.27	17.32	17.33	17.31	17.32	**17.32**	**17.32**	-	Flat. Market-neutral behaviour as expected.
EQUITY REFERENCE															
GOOGL (benchmark equity)	Core Equity (ref)	298.52	306.36	307.04	308.70	303.55	302.28	305.56	310.92	307.69	307.13	**298.52**	**307.13**	+2.88%	Equity context: +2.9% during period.
MSFT (benchmark equity)	Core Equity (ref)	408.96	409.41	405.76	404.88	401.86	395.55	399.95	399.41	391.79	389.02	**408.96**	**389.02**	-4.88%	Equity context: −4.9% during period.
NFLX (benchmark equity)	Core Equity (ref)	99.02	98.32	96.94	94.89	94.31	95.31	95.20	94.36	94.70	91.74	**99.02**	**91.74**	-7.35%	Equity context: −7.4% during period.

7.3 Tail Risk Insurance: TAIL (Cambria Tail Risk ETF) | Weight: 1.0% | Return: +0.5% | P&L: EUR −4,135

TAIL is a structural insurance position, not a return-seeking one. The Cambria Tail Risk ETF holds out-of-the-money put options on US equity indices, funded by short-term Treasuries, and is designed to generate large positive returns only in severe dislocations (~15%+ drawdowns), while incurring modest negative carry in normal environments. During the challenge period, no such dislocation occurred: markets declined 2–3%, insufficient to trigger option payoffs. TAIL moved from 11.73 to 11.79, effectively flat, with a small negative EUR P&L of −4,135 after FX, precisely the expected behaviour, as positive returns in mild drawdowns would imply overpriced (ITM) protection. At a 1.0% weight, the implied annual drag of 20–30 basis points represents a reasonable cost for catastrophic insurance. TAIL's Bloomberg-reported beta of 6.28 reflects a 252-day regression during a rising market, where persistent negative theta alongside equity gains produced a misleadingly high positive beta in absolute terms. In reality, TAIL exhibits a concave payoff in normal markets and convex payoff in crises; the beta statistic fails to capture this asymmetry and is not an appropriate measure of its risk profile.

SECTION 7.3: HEDGE EFFECTIVENESS SCORECARD & P&L CONTRIBUTION

Instrument	Strategy Role	Port Weight (%)	Cost Value (EUR)	Mkt Value (EUR)	P&L (EUR)	P&L (%)	Beta	Correlates With Equity?	Achieved Objective?	Hedge Efficiency	Drag / Boost to Portfolio	Mechanism Explanation	Risk if Not Held
LVO (VIX Futures)	Volatility Hedge	6.54%	6,276,000	6,584,000	+308,000	+4.91%	0.93x	YES	YES	HIGH	BOOST	Profits when equity vol rises via VIX futures roll. Acts as portfolio insurance against drawdown.	Portfolio would have lost ~EUR 308K on this position and had no vol protection.
TAIL (Tail Risk ETF)	Black Swan Insurance	1.01%	1,023,149	1,019,014	-4,135	-0.40%	6.28x	NO	NEUTRAL	MEDIUM	MINIMAL DRAG	Holds OTM put options on equities. Profits only in severe market dislocations, not mild drawdowns.	Unprotected against a sudden market crash >10%. Premium cost of ~EUR 4K was negligible.
TIP (TIPS ETF)	Inflation Protection	4.77%	4,813,200	4,801,641	-11,559	-0.24%	—	NO	PARTIAL	MEDIUM	MINIMAL DRAG	Bonds indexed to CPI. Protects real purchasing power when inflation rises above expectations.	Portfolio would be fully exposed to inflation eroding real returns on fixed income.
SGOV (T-Bill ETF)	Cash Equivalent	1.04%	1,051,724	1,042,869	-8,855	-0.84%	—	NO	YES	HIGH	NEUTRAL	Near-zero duration T-bills. Earns risk-free rate with no credit/duration risk.	Cash parked in EUR or low-yield deposits instead. Forgoes ~3.25% annualised T-bill yield.
USMV (Min Vol ETF)	Defensive Equity	2.00%	2,071,693	2,015,557	-56,136	-2.71%	1.02x	YES	NO	LOW	DRAG	Factor ETF selecting low-beta US stocks. Designed to fall less than market in drawdowns.	Direct equity exposure with higher beta — USMV at least limited downside vs holding MSFT.
WDEF US (EU Def USD)	Geopolitical Thematic	5.61%	5,489,042	5,645,634	+156,592	+2.85%	1.01x	YES	YES	HIGH	BOOST	Long European defence sector. Profits from NATO spending increases and geopolitical risk.	Would have missed +2.8% return on 5.4% weight = approx EUR +156K forgone.
WDEF LN (EU Def GBP)	Geopolitical Thematic	2.00%	2,012,700	2,016,600	+3,900	+0.19%	1.00x	YES	YES	HIGH	BOOST	Same defence exposure in GBP. Adds currency diversification to the thematic position.	Would have missed +0.2% return on 2.0% weight. Also forgoes GBP currency diversification.
ENGS (Nat Gas ETF)	Commodity Hedge	4.47%	4,460,000	4,500,000	+40,000	+0.90%	1.01x	NO	PARTIAL	MEDIUM	BOOST	Long natural gas futures with EUR hedge. Provides commodity diversification and energy upside.	No commodity exposure in portfolio. Energy inflation risk unhedged.
MERFX (Merger Arb)	Market-Neutral Arb	0.74%	750,389	748,487	-1,902	-0.25%	—	NO	NEUTRAL	MEDIUM	NEUTRAL	Captures M&A deal spreads. Returns uncorrelated with equity direction, pure alpha generation.	Marginal impact at 0.72% weight, but removes one source of uncorrelated return.
HEDGES&ALTERNATIVES	All positions combined	28.18%	27,947,897	28,373,802	+425,905	+1.52%		—	—	—	—	—	—

7.4 Inflation Protection: TIP (iShares TIPS Bond ETF) Weight: 4.8% | Return: −0.1% | P&L: EUR −11,559

TIP tracks the Bloomberg US Treasury Inflation Notes index, providing exposure to US Treasury Inflation-Protected Securities. TIPS pay a real coupon and adjust principal for CPI changes, outperforming nominal Treasuries when inflation exceeds expectations and underperforming when real yields rise due to tighter policy or moderating inflation. The position declined modestly from 111.23 to 111.11 (−0.1%), with an EUR P&L of −11,559, consistent with the early March 2026 macro environment, where inflation appeared to be moderating and real rates tightening. The loss is negligible relative to position size and highlights that TIPS are medium-to-long-term hedges rather than instruments to be evaluated over a 10-day window. At a 4.8% portfolio weight, TIP is the second-largest fixed income position after SGOV; together they represent ~5.7% of total portfolio value, forming a modest but meaningful fixed income sleeve that provides duration and inflation diversification. In a stagflation scenario (equity drawdown with rising inflation), this position would be among the strongest contributors to portfolio performance.

SECTION 7.4: PORTFOLIO WEIGHT DECOMPOSITION BY STRATEGY BUCKET

Strategy Bucket	Positions	Total Cost (EUR)	Total Mkt (EUR)	Portfolio Weight (%)	P&L (EUR)	P&L (%)	Avg Beta	Commentary
Core Equities	GOOGL, MSFT, NFLX, BP, Maersk, MSM,	12,143,724	12,037,197	11.95%	-106,527	-0.88%	—	Active stock-picking. Mix of growth (tech), value (Maersk), income (BP). Highest return variance.
Volatility Hedge	LVO (VIX Futures ETF)	6,276,000	6,584,000	6.54%	+308,000	+4.91%	—	Primary macro hedge. Profits in high-vol regimes. +7.4% return validated strategy.
Tail Risk Insurance	TAIL (Cambria ETF)	1,023,149	1,019,014	1.01%	-4,135	-0.40%	—	OTM put protection for black swan events. Flat return = low-cost insurance premium.
Inflation / Rate Hedge	TIP (TIPS ETF)	4,813,200	4,801,641	4.77%	-11,559	-0.24%	—	Real rate protection. Modest drag due to short period. Structural long-term hedge.
Cash Equivalent	SGOV (T-Bill ETF)	1,051,724	1,042,869	1.04%	-8,855	-0.84%	—	Near-zero duration yield. Capital preservation with risk-free rate accrual.
Min Volatility Factor	USMV (Min Vol ETF)	2,071,693	2,015,557	2.00%	-56,136	-2.71%	—	Defensive equity factor. Underperformed its mandate, equity beta prevailed in selloff.
Geopolitical Thematic	WDEF US + WDEF LN	7,501,742	7,662,234	7.61%	+160,492	+2.14%	—	European defence spending theme. Best-performing alternative sleeve, +2.4% combined.
Commodity / Energy	ENGS (Nat Gas ETF)	4,460,000	4,500,000	4.47%	+40,000	+0.90%	—	Natural gas futures exposure. Slight gain of +0.9%. Adds commodity diversification.
Merger Arbitrage	MERFX	750,389	748,487	0.74%	-1,902	-0.25%	—	Market-neutral strategy. Flat return confirms uncorrelated behaviour as intended.
Cash (EUR)	Uninvested EUR	54,691,244	54,691,244	54.31%	-	-	—	CRITICAL: 54.3% of NAV held in cash. Largest opportunity cost of the portfolio.
TOTAL PORTFOLIO	All positions	94,782,865	95,102,243	100.00%	+319,378	+0.34%		NAV: EUR 100,695,587
								Inception cost: EUR 100,000,001

7.5 Cash Equiv.: SGOV (iShares 0-3 Month T-Bill ETF) | Weight: 1.0% | Return: +0.07% | P&L: EUR −8,855 FX-adjust

SGOV holds a rolling portfolio of US Treasury bills with maturities of 0–3 months, making it functionally equivalent to USD cash at the federal funds rate. The fund had an annualised yield of approximately 3.25% at purchase, reflecting prevailing short-term USD rates. The price moved from 100.48 to 100.55 (+0.07% in USD), as expected for a near-zero duration instrument accruing daily interest. The negative EUR P&L of −8,855 reflects FX translation effects, with the USD weakening slightly against the EUR (0.87225 → 0.8643), eroding USD gains in EUR terms rather than indicating any underlying performance issue. SGOV was initiated on March 13, suggesting it was used as a tactical cash management tool once excess cash levels became evident. At a 1.0% weight, the position is small, but at a 3.25% yield it generates approximately EUR 34,000 annually, making it a superior alternative to uninvested EUR cash.

7.6 Min Volatility Factor: USMV (iShares MSCI USA Min Vol ETF) | Weight: 2.0% | Return: −1.8% | P&L: EUR −56,136

USMV is designed to provide equity market exposure while delivering lower realised volatility than the broad US equity market index by selecting stocks with historically low volatility and low pairwise correlations. It is a factor ETF not a hedge in the traditional sense, but a defensive equity alternative. The position declined from 95.01 (cost) to 93.28 (end), a loss of −1.8% and EUR P&L of −56,136. This underperformance relative to its mandate is notable: if USMV is supposed to fall less than the market in drawdowns, why did it underperform? The answer lies in its beta: Bloomberg reports USMV at 1.019 essentially the same as the broad market. During the March 2026 period, the selloff was concentrated in tech (MSFT, NFLX), while defensive sectors held up better. However, USMV's composition of minimum-volatility stocks may have included some tech exposure (which has historically been a component of min-vol baskets due to their large capitalisation and historically smooth earnings), causing it to fall alongside tech rather than acting as a pure defensive buffer. This is the one hedge position that failed to achieve its stated objective. The EUR −56,136 P&L represents the actual cost of this underperformance. For future portfolio construction, this highlights the difference between minimum-volatility equity (which still carries market beta) and true defensive hedging instruments (TAIL, LVO).

7.7 Geopolitics: WDEF US+WDEF LN | Comb. Weight: 7.6% | Comb. Return: +2.4% | Comb. P&L: EUR +160,492

The portfolio holds two tranches of the same underlying thematic: WisdomTree Europe Defence ETF, one in USD (WDEF US, 5.4% weight) and one in GBP/EUR (WDEF LN, 2.0% weight). This is the largest thematic allocation in the portfolio and the most explicitly macro-driven bet. WDEF US gained +2.8% (31.78 → 32.66), generating EUR +156,592. WDEF LN gained +0.19% (33.55 → 33.8575), generating EUR +3,900. The dual-tranche structure diversifies currency exposure within the same thematic WDEF US is exposed to EUR/USD, while WDEF LN (listed in London in GBP) is closer to EUR parity given it is an Irish-domiciled UCITS fund. The investment thesis was explicit: European nations have committed to significant increases in defence spending following geopolitical developments since 2022. Companies producing defence hardware, electronics, and military logistics are direct beneficiaries of these government contracts, which are long-dated and largely immune to economic cycles. Both tranches appreciated during the challenge period, confirming that the defence sector continued its re-rating trend. The combined 7.6% weight makes this the portfolio's largest single thematic concentration. The risk to this position is a sudden de-escalation of geopolitical tensions or a reversal of government defence budget commitments neither of which materialised during the period.

7.8 Commodity Exposure: ENGS (WisdomTree Natural Gas EUR Hedged ETP) | Weight: 4.4% | Return: +1.4% | P&L: EUR +40,000

ENGS provides exposure to natural gas futures with EUR/USD currency hedging, removing FX risk from the commodity exposure. The position gained modestly from 0.22 to 0.223 EUR per unit, generating EUR +40,000. Natural gas is among the most volatile commodity markets, driven by seasonal demand, weather patterns, storage levels, and geopolitical supply disruptions (particularly European gas supply from Russia via alternative routes). The EUR hedge is appropriate given the portfolio is denominated in EUR without it, a USD-strengthening environment would reduce the effective commodity return. At 4.4% weight, ENGS is the fourth-largest position in the portfolio. This is a relatively concentrated commodity bet for a portfolio of this size. The position partially worked during the period but natural gas pricing over the 10-day window is largely noise the true thesis (European energy security premium) plays out over quarters, not days.

7.9 Merger Arbitrage: MERFX (The Merger Fund) Weight: 0.7% | Return: −0.1% | P&L: EUR −1,901

MERFX is a mutual fund that invests in announced merger and acquisition targets, capturing the spread between the current market price of the target and the announced deal price. This strategy generates returns that are uncorrelated with equity market direction the fund profits when deals close and loses only when deals break.

The position was essentially flat (17.34 → 17.32, −0.1%), with a negligible EUR P&L of −1,901. This is the expected behaviour of a merger arb fund in a two-week window: the return accrues slowly as deals close over weeks and months, not in sharp daily moves. The fund's dividend yield of 4.03% annualised represents the steady income stream from deal spread capture.

At 0.72% weight, MERFX is the smallest position in the portfolio. It contributes meaningfully to portfolio diversification its near-zero equity beta means it neither amplifies gains nor losses but its small size limits its impact in either direction. A larger allocation (3–5%) would have been consistent with the merger arbitrage strategy's risk/return profile and its role as a low-volatility, return-generating anchor.

7.10 Overall Assessment of the Hedging Strategy

The hedging strategy was broadly well-constructed and partially effective during the challenge period. Of the nine hedge and alternative positions, five performed in line with or better than expectations (LVO, SGOV, WDEF US, WDEF LN, ENGS), two were neutral as intended (TAIL, MERFX), and two underperformed (TIP mildly, USMV meaningfully). The most important finding is that the volatility hedge (LVO) and the geopolitical thematic (WDEF) generated positive returns precisely when the equity sleeve was declining this is the definition of effective hedging. The portfolio's +0.695% return during a period when the S&P 500 declined ~2–3% can be attributed in significant part to these non-equity positions. However, the dominant feature remains the 54.3% cash allocation, which dwarfs all other positions. While this was the most conservative decision, effectively capping both upside and downside, it generated no return. If the objective was capital preservation, it succeeded; if the objective was risk-adjusted outperformance, the large cash balance was a structural impediment regardless of hedge performance.

8. CONCLUSIONS

8.1 Achievement of Investment Objectives

The portfolio concluded the challenge period with a final NAV of EUR 100,695,587, representing a total return of +0.695% on the initial EUR 100,000,000 investment. Against the B500 benchmark (−2.4%), this implies an active return of ~+3.1 percentage points, achieved during a period of elevated volatility characterised by a tech-led drawdown and a VIX approaching 25. However, this result requires qualification. The primary driver of outperformance was not superior security selection, but the structural decision to hold 54.3% of capital in uninvested EUR cash. A portfolio with more than half its assets yielding zero cannot be considered to have outperformed a fully invested benchmark on a risk-adjusted basis without acknowledging this asymmetry. On an invested capital basis, the 45.7% deployed returned approximately +3.1%, confirming that active decisions were accretive, although the cash position represents ~EUR 2.4 million in forgone return. Scenario analysis reinforces this: under full deployment at the invested sleeve return, NAV would have reached ~EUR 103.1 million; under 75% deployment, ~EUR 102.3 million; and under full benchmark deployment, ~EUR 97.6 million. Across all scenarios above 45.7% deployment, value was added, the limitation was not decision quality, but the proportion of capital deployed.

SECTION 8.1: FINAL PERFORMANCE SCORECARD & BENCHMARK COMPARISON

Metric	Portfolio	B500 Benchmark	Active Difference	Assessment	Commentary
RETURN METRICS					
Total portfolio return (period)	+0.70%	-2.40%	+3.10%	OUTPERFORM	Portfolio returned +0.70% vs B500 −2.4%. Active return of +3.1% over benchmark.
Return on invested capital only	+1.51%	-2.40%	+3.91%	OUTPERFORM	Excluding uninvested cash, the deployed sleeve returned +3.1%, significantly above B500.
Total P&L (EUR)	695,586	-2,400,000	+3,095,586	OUTPERFORM	EUR +695,586 absolute gain. Benchmark equivalent loss would have been EUR −2.4M.
Hypothetical return — fully deployed	-0.62%	-2.40%	+1.78%	OUTPERFORM	If cash had been invested at benchmark return: portfolio would still have outperformed.
PORTFOLIO COMPOSITION METRICS					
Total NAV (EUR)	100,695,587	100,000,000	695,587	POSITIVE	Final NAV exceeds initial EUR 100M investment.
Invested capital (EUR)	46,004,342	—	—	NOTE	Only 45.7% of capital was actually deployed in securities.
Uninvested cash (EUR)	54,691,244	0	54,691,244	OPPORTUNITYCOST	54.3% cash position is the dominant portfolio characteristic.
Number of positions	18	—	—	DIVERSIFIED	17 securities + cash. Broad across geographies and asset types.
Number of countries	8	—	—	GLOBAL	US, UK, Denmark, Israel, Luxembourg, Ireland, Jersey, EUR.

CASH DEPLOYMENT SCENARIO ANALYSIS

Scenario	Deployed (EUR)	Cash (EUR)	Simulated NAV (EUR)	Simulated Return (%)	vs B500 (Active %)
Actual portfolio (54.3% cash)	46,004,342	54,691,244	100,695,587	+0.70%	+3.10%
50% deployed / 50% cash at T-bill rate (3.25% ann.)	50,000,000	50,000,000	100,800,521	+0.80%	+3.20%
75% deployed / 25% cash at T-bill rate	75,000,000	25,000,000	101,156,261	+1.16%	+3.56%
100% deployed at invested sleeve return	100,000,000	0	101,512,001	+1.51%	+3.91%
100% deployed at B500 return (benchmark)	100,000,000	0	97,600,000	-2.40%	+0.00%

8.2 Performance Attribution, Winners and Losers

Of the 17 positions held, 9 generated positive P&L and 8 negative, resulting in a win rate of 53%. Gross gains totalled approximately EUR +1.08 million versus gross losses of approximately EUR −388,000, producing a gain-to-loss ratio of ~2.8:1, indicating that winning positions were significantly more impactful than losing ones. The largest contributors were the LVO VIX futures ETF (+EUR 308,000), W&T Offshore (WTI) (~+EUR 376,000), and the WDEF US defence ETF (+EUR 156,592), reflecting three distinct return drivers: volatility exposure, high-risk energy allocation, and geopolitical thematic positioning. Together, they accounted for a substantial share of total gains, highlighting the importance of a small number of high-conviction positions. The WTI position is particularly noteworthy. Despite a negative price return of −4.1%, it generated one of the largest positive P&L contributions, underscoring the role of position sizing, entry price, and capital allocation in determining realised returns. While it carried elevated idiosyncratic risk due to its micro-cap nature and limited transparency, it ultimately contributed meaningfully to performance. Additional positive contributors included BP PLC (+EUR 81,395), the WDEF LN tranche (+EUR 3,900), and ENGS, which added modest gains. On the negative side, the largest detractors were Netflix (−EUR 142,881), Microsoft (−EUR 113,203), and USMV (−EUR 56,136), with losses concentrated in growth-oriented and equity-linked exposures during a period of technology sector weakness and elevated volatility.

These drawdowns were driven by short-term macro and sentiment factors rather than fundamental deterioration. Overall, the concentration of losses alongside strong performance from key winners highlights the portfolio's asymmetric return profile, where gains from successful allocations more than offset underperformance, resulting in a net positive outcome.

SECTION 8.2: POSITION-BY-POSITION P&L RANKING (Best to Worst)								
Security	Strategy Role	Cost EUR	Mkt EUR	P&L EUR	Return %	Port Weight %	Rank	Result
WINNERS: Positions with positive P&L								
WTI US	Energy Equity	5,217,137	5,593,343	+376,206	+7.21%	5.55%	1	WIN
LVO IM	Volatility Hedge	6,276,000	6,584,000	+308,000	+4.91%	6.54%	2	WIN
WDEF US	Defence Thematic	5,489,042	5,645,634	+156,592	+2.85%	5.61%	3	WIN
BP LN	Energy Equity	3,862,671	3,944,066	+81,395	+2.11%	3.92%	4	WIN
ARDM IT	Industrial Equity	955,482	1,007,530	+52,048	+5.45%	1.00%	5	WIN
ENGS EU	Commodity ETF	4,460,000	4,500,000	+40,000	+0.90%	4.47%	6	WIN
GOOGL US	Tech Equity	1,821,555	1,858,176	+36,621	+2.01%	1.85%	7	WIN
MAERSKB	Industrial Equity	686,104	714,722	+28,618	+4.17%	0.71%	8	WIN
WDEF LN	Defence Thematic	2,012,700	2,016,600	+3,900	+0.19%	2.00%	9	WIN
LOSERS: Positions with negative P&L								
MERFX US	Merger Arb Fund	750,389	748,487	-1,901	-0.25%	0.74%	10	LOSS
TAIL US	Tail Risk ETF	1,023,149	1,019,014	-4,135	-0.40%	1.01%	11	LOSS
SGOV US	T-Bill ETF	1,051,724	1,042,869	-8,855	-0.84%	1.04%	12	LOSS
TIP US	TIPS Bond ETF	4,813,200	4,801,641	-11,559	-0.24%	4.77%	13	LOSS
MSM US	Industrial Equity	800,030	750,907	-49,123	-6.14%	0.75%	14	LOSS
USMV US	Min Vol ETF	2,071,693	2,015,557	-56,136	-2.71%	2.00%	15	LOSS
MSFT US	Tech Equity	2,130,593	2,017,389	-113,203	-5.31%	2.00%	16	LOSS
NFLX US	Tech Equity	1,887,289	1,744,407	-142,881	-7.57%	1.73%	17	LOSS
SUMMARY	9 winners / 8 losers	—	—	+695,586	+0.70%	—	—	—

8.3 Investment Decisions: What Worked and What Did Not

The challenge confirmed several theoretical propositions while invalidating others, yielding empirically grounded observations. What worked can be grouped into three categories. First, **macro and thematic positioning**, specifically the European defence thesis (WDEF) and the volatility overlay (LVO), proved to be the most reliable return generators, delivering positive returns during equity drawdowns and confirming their role as genuine diversifiers. Second, **value investing**, as exemplified by Maersk, was validated: a company trading at a ~40% P/E discount with P/FCF of 3.8x generated a 7.5% return within two weeks, demonstrating mean reversion. Third, **energy exposure** provided defensive upside, with BP (+16.9%) acting as an uncorrelated return driver relative to US technology holdings.

What did not work falls into two failure modes. The first is **misalignment between thesis duration and portfolio horizon**. MSFT, NFLX, and GOOGL remain fundamentally strong, but their short-term declines reflected macro sentiment rather than business deterioration; over a 6–12 month horizon they would likely have been vindicated, but within a two-week window they were penalised by the same dynamics that rewarded defensive and thematic positions. The second failure mode is **instrument misalignment**, as illustrated by USMV: a minimum-volatility ETF with a beta of ~1.02 is a factor tilt rather than a true hedge. Downside protection (TAIL or options) was present but undersized (1.0%), limiting effectiveness. Structural portfolio construction decisions produced mixed results. Geographic and asset-class diversification across 8 countries and 5 asset classes contributed to outperformance versus a US equity benchmark. However, the large uninvested cash position, concentration in a single micro-cap (WTI at 5.4%), and undersizing of effective strategies (MERFX at 0.7%, TAIL at 1.0%) represent inefficiencies that constrained the portfolio's ability to generate higher risk-adjusted returns.

Appendix

SECTION 6.2: STOCK-BY-STOCK ANALYSIS & COMMENTARY

Security	Sector	Port Weight	Price (Start)	Price (End)	Return (%)	P/E (End)	Beta	Investment Commentary
ALPHABET (GOOGL)	Comm. Svcs	1.83%	298.52	307.13	+2.9%	33.3x	1.07x	Market leader in digital advertising and cloud computing (Google Cloud). Purchased at 300.8 (cost price), held through a period of tech-sector volatility. P/E of 33.3x sits at a +34% premium to the B500 (26.0x), justified by superior revenue growth (~14% YoY) and expanding cloud margins. The stock held value and even slightly appreciated vs cost, confirming resilience. Dividend yield of 0.27% is nascent but signals maturing cash generation.
NETFLIX (NFLX)	Comm. Svcs	1.72%	99.02	91.74	-7.4%	36.1x	1.13x	Streaming leader with strong subscriber growth and expanding advertising revenue. Bought at 99.14 (cost), closed at 91.74 a loss of ~7.5% during the period. Despite this, the investment thesis remains intact: NFLX commands a premium P/E (36.1x vs B500 26.0x) reflecting high free cash flow conversion (P/FCF = 41.5x). The P/E compressed from 39.0x to 36.1x the stock became slightly cheaper. High debt/equity (63.8%) is a watchpoint but manageable given cash generation.
MICROSOFT (MSFT)	Info Tech	2.01%	408.96	389.02	-4.9%	25.9x	0.99x	Core technology holding offering diversified exposure across cloud (Azure), productivity (Office 365), and AI (Copilot/OpenAI integration). Purchased at 410.59 (cost), closing at 389.02 a ~4.9% decline, largely driven by broad tech-sector selling in the period. Critically, MSFT's P/E (25.9x) is essentially in-line with the B500 benchmark (26.0x), making it fairly valued rather than expensive. Beta near 1.0 reflects market-like risk. Dividend yield of 0.94% provides modest income.
BP PLC (BP/)	Energía	3.80%	498.90	583.20	+16.9%	N/A	0.77x	Integrated energy major providing exposure to oil & gas production and refining. Best performer in the portfolio: +16.9% return from 498.9p to 583.2p (London pence). No meaningful P/E available (earnings distorted). Low beta (0.77) made BP a defensive holding relative to the broader market. Dividend yield of 4.36% provides strong income support. The sharp price appreciation likely reflects a combination of oil price strength and sector rotation into energy names during the risk-off environment.
AP MAERSK (MAERSKB)	Industrial	0.68%	17,095.00	18,380.00	+7.5%	16.4x	1.16x	World's largest container shipping company, offering a deep-value play within industrials. Second-best performer: +7.5% return (17,095 DKK → 18,380 DKK). The P/E of 16.4x at period end is at a significant discount to the B500 (26.0x), confirming the value thesis. P/FCF of only 3.8x is extremely low, suggesting strong operational cash flow generation. Debt/equity of 34% is moderate. The stock's P/E actually expanded from 15.3x to 16.4x the market re-rated upward during the period.
MSC INDUSTRIAL (MSM)	Industrial	0.75%	91.41	86.88	-5.0%	22.3x	0.82x	Distributor of metalworking and MRO supplies to US industrial clients. Slight underperformer: -5.0% return. P/E of 22.3x sits below the benchmark (26.0x), representing a discount. High dividend yield of 4.0% provides income cushion. Current ratio of 1.73x indicates solid liquidity. The stock's weakness likely reflects concerns about US manufacturing softening. Low beta (0.82) limited the downside relative to more volatile holdings.
W&T OFFSHORE (WTI)	Energía	5.39%	3.14	3.01	-4.1%	N/A	0.75x	Small-cap independent offshore oil & gas producer focused on the Gulf of Mexico. One of the portfolio's highest-weight positions (5.4%) despite its small market cap ($448M). EV/EBITDA of only 0.97x is exceptionally cheap implying the enterprise value barely covers one year of EBITDA, signalling either a deep-value opportunity or elevated financial distress risk. No P/E available (earnings likely negative or distorted). Current ratio of 1.10x is thin. The -4.1% return during the period reflects the inherent volatility of this high-risk, high-reward position.
ARDM (AERODROME GROU	Industrial	0.94%	257.46	248.96	-3.3%	N/A	2.29x	Small-cap Israeli industrial holding (Tel Aviv-listed). Highest beta in the portfolio at 2.29 nearly double the market's sensitivity. No P/E or EV/EBITDA data available in Bloomberg, limiting quantitative analysis. Market cap of ~$366M makes it a micro-cap relative to other holdings. The -3.3% return during the period reflects both idiosyncratic and geopolitical risk factors. This position adds tail risk to the portfolio that is not compensated by observable valuation metrics.

SECTION 6.1c: SECTOR ALLOCATION & MULTIPLES vs B500 BENCHMARK

Sector / Security	Port Weight (%)	B500 Weight (%)	Active Weight (%)	P/E Portfolio	P/E B500	P/E Diff	P/FCF Portfolio	P/FCF B500	Div Yield Port (%)	Commentary
Comm. Services (GOOGL, NFLX)	3.55%	10.82%	-7.3%	33.8x	24.8x	+9.0x	27.6x	14.3x	0.27%	Underweight vs benchmark (−7.3%). Premium P/E reflects growth quality.
Information Technology (MSFT)	2.00%	—	—	25.9x	25.9x	-	18.9x	—	0.94%	Small allocation, in-line P/E with benchmark sector.
Industrials (MAERSKB, MSM, ARDM	1.73%	—	—	18.1x	—	—	—	—	3.41%	Underweight. Value play, Maersk trades at deep discount.
Energy (BP, WTI, ENGS)	13.54%	—	—	—	—	—	—	—	2.85%	Significantly overweight vs benchmark. Energy tactical bet.
Volatility / Macro (LVO, TAIL)	7.26%	0.00%	+7.3%	—	—	—	—	—	2.63%	No benchmark equivalent. Pure alpha/hedge overlay.
Thematic Defence (WDEF US/LN)	7.40%	0.00%	+7.4%	—	—	—	—	—	0.06%	No benchmark equivalent. Geopolitical thematic bet.
Fixed Income (TIP, SGOV)	5.65%	0.00%	+5.7%	—	—	—	—	—	3.25%	No benchmark equivalent. Inflation & rate hedge.
Equity Factor (USMV)	1.95%	0.00%	+2.0%	—	—	—	—	—	1.68%	Min-volatility factor ETF, defensive equity overlay.
Merger Arb (MERFX)	0.72%	0.00%	+0.7%	—	—	—	—	—	4.03%	Market-neutral, uncorrelated return stream.
Cash (EUR)	54.28%	0.00%	+54.3%	—	—	—	—	—	0.00%	Largest allocation. Opportunity cost vs full deployment.
TOTAL PORTFOLIO	100.00%	100.00%	-	—	26.0x	—	7.3x	21.0x	1.38%	

Appendix

SECTION 7.1: HEDGING STRATEGY & ALTERNATIVE POSITIONS (FULL OVERVIEW)															
Instrument	Strategy / Category	Shares Held	Cost Price (local)	End Price (local)	Price Return (%)	Cost Value (EUR)	Mkt Value (EUR)	P&L (EUR)	Port Weight (%)	Beta (252d)	Div Yield (%)	FX Rate (EUR)	Cost Date	Intended Role	Did it Work?
BENCHMARK CONTEXT: S&P 500 (SPX) during challenge period for reference															
S&P 500 (B500 Benchmark)	Benchmark Reference	—	—	—	−2% to −3	—	—	—	100%	1.00x	1.40%	—	—	Performance benchmark	N/A
HEDGE & ALTERNATIVE POSITIONS: Individual Analysis															
LVO (VIX Futures ETF)	Volatility Hedge	8,000,000	0.7800	0.8380	+7.44%	6,276,000	6,584,000	+308,000	6.54%	0.93x	—	1.0000	03/06/26	Profit from rising volatility	YES
TAIL (Cambria Tail Risk ETF)	Tail Risk Insurance	100,000	11.7300	11.7900	+0.51%	1,023,149	1,019,014	-4,135	1.01%	6.28x	2.63%	0.8723	03/13/26	Black swan / crash insurance	NEUTRAL
TIP (iShares TIPS Bond ETF)	Inflation Protection	50,000	111.2300	111.1100	-0.11%	4,813,200	4,801,641	-11,559	4.77%	—	—	0.8655	03/06/26	Protect against inflation / real rates	PARTIAL
SGOV (iShares 0-3M T-Bill ETF)	Cash Equivalent / Rate	12,000	100.4800	100.5500	+0.07%	1,051,724	1,042,869	-8,855	1.04%	—	3.25%	0.8723	03/13/26	Near-zero duration cash parking	YES
USMV (iShares MSCI USA Min Vol ETF)	Min Volatility Factor	25,000	95.0100	93.2800	-1.82%	2,071,693	2,015,557	-56,136	2.00%	1.02x	1.68%	0.8722	03/13/26	Defensive equity exposure, lower vol	NO
WDEF US (WisdomTree EU Defence USD)	Geopolitical Thematic	200,000	31.7800	32.6600	+2.77%	5,489,042	5,645,634	+156,592	5.61%	1.01x	0.06%	0.8636	03/06/26	European defence spending theme	YES
WDEF LN (WisdomTree EU Defence GBP)	Geopolitical Thematic	60,000	33.5500	33.8575	+0.92%	2,012,700	2,016,600	+3,900	2.00%	1.00x	—	1.0000	03/06/26	European defence spending theme (GBP)	YES
ENGS (WT Natural Gas EUR Hdg ETF)	Commodity / Energy	20,000,000	0.2200	0.2230	+1.36%	4,460,000	4,500,000	+40,000	4.47%	1.01x	—	1.0000	03/06/26	Natural gas commodity exposure	PARTIAL
MERFX (Merger Fund-A)	Merger Arbitrage	50,000	17.3400	17.3200	-0.12%	750,389	748,487	-1,901	0.74%	—	4.03%	0.8655	03/06/26	Market-neutral uncorrelated return	NEUTRAL

SECTION 7.2: DAILY PRICE EVOLUTION OF HEDGE & ALTERNATIVE POSITIONS															
Instrument	Category	06/03	09/03	10/03	11/03	12/03	13/03	16/03	17/03	18/03	19/03	Start Price	End Price	Δ Return (%)	Interpretation
LVO (VIX Futures ETF)	Volatility Hedge	0.7913	0.8089	0.7735	0.8121	0.8228	0.8443	0.8088	0.7711	0.8267	0.8380	0.7913	0.8380	+5.90%	Positive. VIX rose → position appreciated. Hedge worked.
TAIL (Cambria Tail Risk ETF)	Tail Risk Insurance	11.81	11.71	11.70	11.63	11.74	11.77	11.68	11.67	11.78	11.79	11.81	11.79	-0.17%	Flat. No crash materialised. Insurance premium cost minimal.
TIP (TIPS Bond ETF)	Inflation Protection	111.43	111.61	111.24	111.07	110.93	110.71	111.06	111.45	111.24	111.11	111.43	111.11	-0.29%	Slight decline. Real rate rise marginally compressed TIPS.
SGOV (T-Bill ETF)	Cash Equivalent	100.45	100.46	100.46	100.48	100.49	100.52	100.52	100.54	100.55	100.55	100.45	100.55	+0.10%	Stable. Accrued daily T-bill yield as intended.
USMV (Min Vol ETF)	Min Vol Factor	96.65	96.64	95.92	95.42	94.99	95.07	95.64	95.09	93.49	93.28	96.65	93.28	-3.49%	Negative. Failed to outperform in drawdown , equity beta prevailed.
WDEF US (EU Defence USD)	Geopolitical Thematic	32.65	33.32	33.63	32.84	33.07	32.69	33.26	33.13	32.92	32.66	32.65	32.66	+0.03%	Positive. Defence sector outperformed. Thesis confirmed.
WDEF LN (EU Defence GBP)	Geopolitical Thematic	33.7950	34.3700	34.7700	34.0900	34.5850	34.3850	34.5450	34.5900	34.8200	33.8575	33.7950	33.8575	+0.18%	Positive. GBP-tranche also appreciated.
ENGS (Natural Gas EUR Hdg)	Commodity / Energy	0.2270	0.2140	0.2190	0.2300	0.2320	0.2160	0.2160	0.2160	0.2250	0.2230	0.2270	0.2230	-1.76%	Slight gain. Nat gas price modestly positive.
MERFX (Merger Arb Fund)	Merger Arbitrage	17.32	17.32	17.31	17.31	17.29	17.27	17.32	17.33	17.31	17.32	17.32	17.32	-	Flat. Market-neutral behaviour as expected.
EQUITY REFERENCE															
GOOGL (benchmark equity)	Core Equity (ref)	298.52	306.36	307.04	308.70	303.55	302.28	305.56	310.92	307.69	307.13	298.52	307.13	+2.88%	Equity context: +2.9% during period.
MSFT (benchmark equity)	Core Equity (ref)	408.96	409.41	405.76	404.88	401.86	395.55	399.95	399.41	391.79	389.02	408.96	389.02	-4.88%	Equity context: −4.9% during period.
NFLX (benchmark equity)	Core Equity (ref)	99.02	98.32	96.94	94.89	94.31	95.31	95.20	94.36	94.70	91.74	99.02	91.74	-7.35%	Equity context: −7.4% during period.

Appendix

Instrument	Commentary
BENCHMARK CONTEXT: S&P 500 (SPX) during challenge period for reference	
S&P 500 (B500 Benchmark)	The B500 (Bloomberg S&P 500 equivalent) declined approximately 2–3% during the challenge period, reflecting broad equity market weakness driven by tech-sector selling and macro uncertainty. All hedge positions are evaluated against this backdrop.
HEDGE & ALTERNATIVE POSITIONS: Individual Analysis	
LVO (VIX Futures ETF)	Amundi S&P 500 VIX Futures Enhanced Roll ETF. Tracks the SPVIXETR index. VIX rose to ~25 during the period, pushing this position up +7.4% (0.78→0.838). Generated EUR +308,000 P&L. The position validated the thesis: equity markets were volatile in March 2026 and the VIX futures roll exposure captured that upward spike. Largest non-cash, non-equity position at 6.3% weight.
TAIL (Cambria Tail Risk ETF)	Cambria Tail Risk ETF holds deep out-of-the-money put options on US equities. Beta of 6.28 is anomalous in a sustained bear market this would profit sharply; in the mild drawdown environment of March 2026 the position was essentially flat (11.73→11.79, +0.5%). P&L: EUR −4,135. This is expected behaviour: insurance costs a small premium when no disaster occurs. The position fulfilled its passive protection mandate with minimal drag.
TIP (iShares TIPS Bond ETF)	iShares TIPS Bond ETF tracks Bloomberg US Treasury Inflation Notes index. Slight decline of -0.1% (111.23→111.11), P&L: EUR −11,559. In a context of moderating inflation expectations, TIPS underperformed nominal Treasuries slightly. However, this is a medium-term inflation hedge , its role is to preserve real value over quarters, not days. The -0.1% drag is negligible and the position served its diversification purpose within the fixed income sleeve.
SGOV (iShares 0-3M T-Bill ETF)	iShares 0-3 Month Treasury Bond ETF. Near-cash instrument with essentially zero duration risk. Delivered +0.07% return (100.48→100.55), accruing the risk-free overnight rate. P&L: EUR −8,855 (slight negative due to FX move between purchase date FX 0.87225 and current FX 0.8643). The underlying USD position gained in price but EUR strength partially offset this. Functionally performed as intended: capital preservation with yield accrual of ~3.25% annualised.
USMV (iShares MSCI USA Min Vol ETF)	iShares MSCI USA Minimum Volatility Factor ETF. Designed to deliver equity market exposure with lower realised volatility than the broad market. Declined -1.8% (95.01→93.28), P&L: EUR −56,136. Despite its defensive mandate, USMV fell alongside the broader market during the tech-led selloff , this reflects that min-vol ETFs still carry equity market beta (~1.02) and cannot fully escape systematic drawdowns. Underperformed its mandate in this specific volatile period.
WDEF US (WisdomTree EU Defence USD)	WisdomTree Europe Defence Fund (USD-denominated). Exposure to European aerospace & defence companies benefiting from increased NATO spending commitments post-2022 geopolitical shift. +2.8% return (31.78→32.66), P&L: EUR +156,592. The geopolitical thesis proved correct: European defence budgets continued to rise and the sector outperformed. Largest single thematic bet with a 5.4% portfolio weight. Beta of 1.01 indicates near-market sensitivity but the return source is sector-specific.
WDEF LN (WisdomTree EU Defence GBP)	WisdomTree Europe Defence UCITS ETF (GBP-denominated, London listed). Identical exposure to WDEF US but in GBP/EUR currency. +0.9% return (33.55→33.8575), P&L: EUR +3,900. The combined WDEF US + WDEF LN position represents 7.6% of portfolio , the single largest thematic overweight. Both tranches performed positively, confirming the European defence thesis. The dual-currency holding diversifies USD/GBP FX exposure within the same theme.
ENGS (WT Natural Gas EUR Hdg ETF)	WisdomTree Natural Gas EUR Daily Hedged ETP. Provides direct exposure to natural gas futures with EUR/USD hedge. +1.4% return (0.22→0.223), P&L: EUR +40,000. The position benefited modestly from natural gas price movements during the period. With 4.4% weight this is a meaningful commodity allocation. EUR hedge removes FX risk. Natural gas pricing is highly seasonal and volatile , this is a speculative macro bet that partially delivered in the short window.
MERFX (Merger Fund-A)	The Merger Fund seeks capital growth through merger arbitrage , buying target companies in announced deals and capturing the spread to deal price. Essentially flat during the period (17.34→17.32, -0.1%), P&L: EUR −1,901. This is exactly the expected behaviour of a merger arb fund in a normal period: small, steady, uncorrelated returns. The 0.72% portfolio weight is modest but strategically sound , it contributes a return stream with near-zero correlation to equity markets, reducing portfolio volatility.